EQUITY RESEARCH · INITIATION OF COVERAGE

NIKE, Inc.

NKE · Rubber & Plastics Footwear · benchmarked against LULU, DECK, CROX, UAA, VFC, COLM

RATING	PRICE TARGET	CURRENT PRICE	IMPLIED RETURN
HOLD	$32.49	$35.06	-7.3%

Abhishek Raut · 2026-10-12

Built from SEC EDGAR filings and public market data with Ticker-to-Thesis. Not investment advice.

INVESTMENT SUMMARY

HOLD: $32.49 price target implies 7% downside

RATING

HOLD

PRICE TARGET

$32.49

IMPLIED RETURN

-7.3%

Investment thesis

- The turnaround is already in the price: at ~$34, the market discounts EBIT margins rebuilding to ~11% by FY31. That is our base case too, so we see fair value, not a bargain.
- FY27 is a reset year: management guides revenue down high-single digits and adj. EPS of $1.15-1.35. We model -8% revenue and a ~5% EBIT margin.
- Self-help is real but back-end loaded: ~$2.5bn of Pace savings by FY31, inventory down 3% y/y and gross margin up 60bp in Q1 support the rebuild; China (-22% in Q1) is the swing factor.

Valuation: Price target $32.49 vs $35.06 current: -7.3% implied return → HOLD. DCF (perpetuity growth 2.5%, WACC 9.2%): $35.47 per share; exit-multiple method (8.6x EBITDA): $32.47.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

COMPANY SNAPSHOT

NIKE: $46.4bn revenue, +0.2% growth and a 8.2% EBIT margin in FY2026

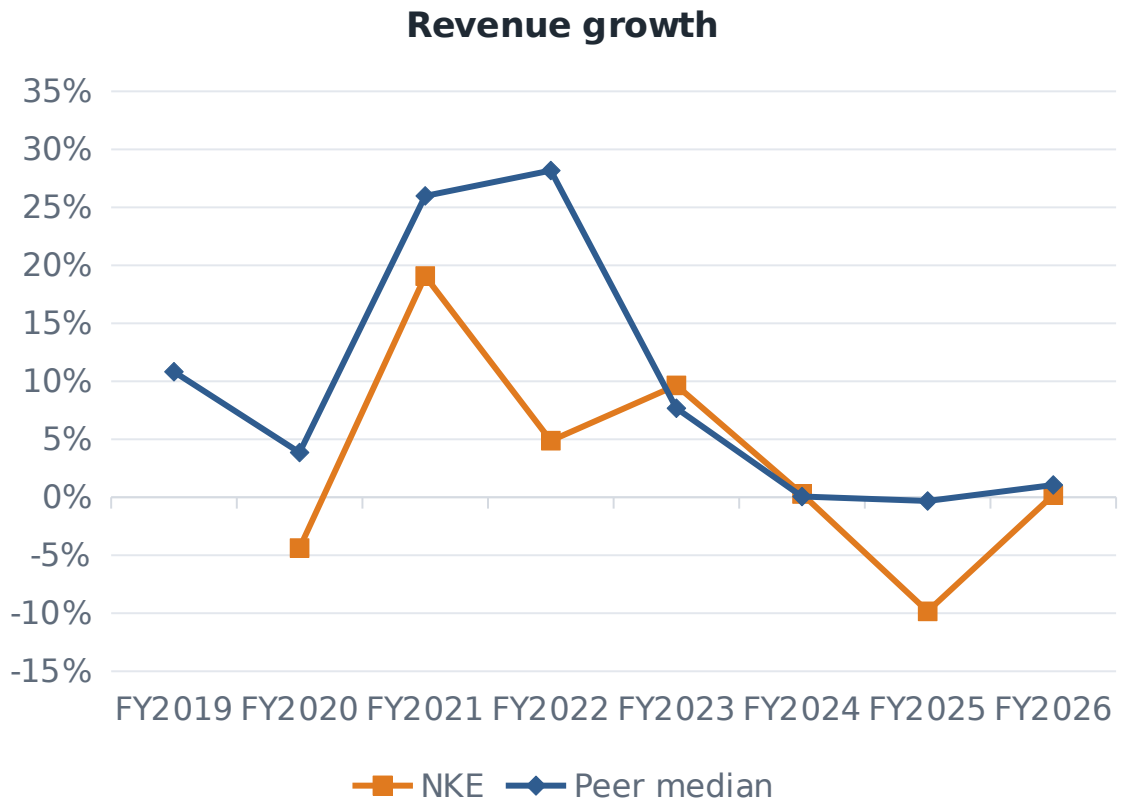
$m	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	46,710	51,217	51,362	46,309	46,398
Growth	4.9%	9.6%	0.3%	-9.8%	0.2%
Gross margin	46.0%	43.5%	44.6%	42.7%	42.9%
EBIT	6,675	5,915	6,311	3,702	3,797
EBIT margin	14.3%	11.5%	12.3%	8.0%	8.2%
Net income	6,046	5,070	5,700	3,219	3,108
Free cash flow	4,430	4,872	6,617	3,268	2,184
ROIC	59.4%	40.3%	44.7%	25.8%	23.4%
Net debt / EBITDA	-0.5x	-0.3x	-0.4x	-0.3x	-0.2x

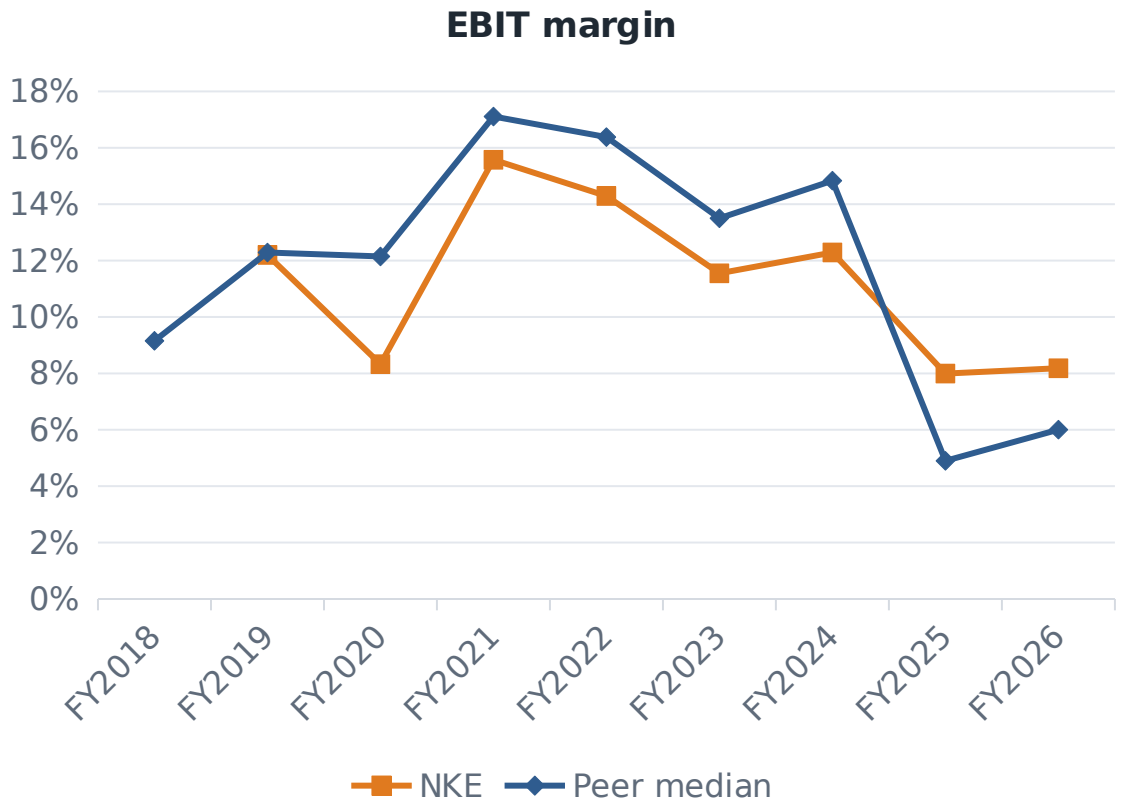
Market cap	**$52.0bn**
Enterprise value	**$51.6bn**
Net debt / (cash)	**($475m)**
EV / EBITDA	**11.3x**
P / E	**16.7x**
52-week range	**$33.87 – $69.68**
Fiscal year end	**05/31**
Industry (SIC)	**3021 Rubber & Plastics Footwear**

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

FINANCIAL PERFORMANCE VS PEERS

EBIT margin is 2.1pp above the peer median; 3-year revenue CAGR -3.2% vs +1.9% for peers





Profitability: EBIT margin of 8.2% ranks at the 64th percentile of the group (peer median 6.0%). Over three years it moved -3.4pp while the peer median moved -7.5pp.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

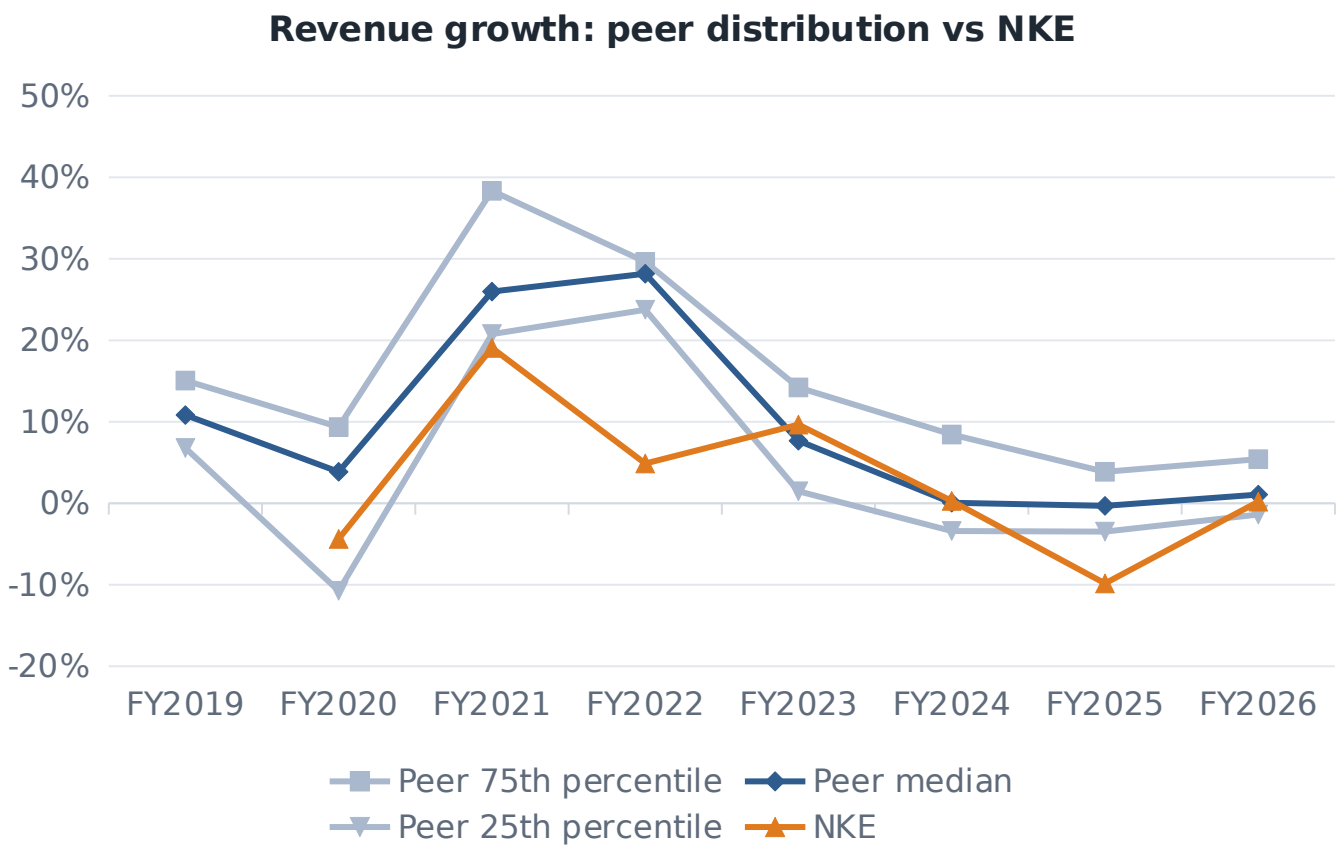
PEER BENCHMARKING

Benchmark scorecard: NKE trails the peer median on 6 of 11 metrics and leads on 5

Metric	NKE	Peer median	Peer range (Q1–Q3)	Percentile	Verdict
Revenue growth	0.2%	1.0%	-0.9% – 3.9%	36	Worse
Revenue CAGR (3y)	-3.2%	1.9%	-3.7% – 9.4%	36	Worse
Gross margin	42.9%	55.7%	51.6% – 57.4%	7	Worse
EBIT margin	8.2%	6.0%	4.3% – 16.5%	64	Better
ROIC	23.4%	13.0%	4.3% – 46.8%	64	Better
FCF margin	4.7%	7.3%	5.9% – 14.3%	21	Worse
FCF conversion (FCF / net income)	70.3%	114.7%	95.0% – 146.3%	30	Worse
Net debt / EBITDA	-0.2x	-0.7x	-1.4x – 3.2x	42	Worse
Interest coverage (EBIT / interest)	11.8x	3.5x	1.7x – 499.2x	58	Better
Inventory days	103 days	119 days	89 days – 127 days	64	Better
Cash conversion cycle	100 days	109 days	100 days – 110 days	58	Better

Percentile: rank within the peer group, oriented so 100 = best (e.g. lower leverage scores higher). Latest fiscal year.

Industry backdrop: peer revenue growth averaged +0.3% a year and margins are contracting



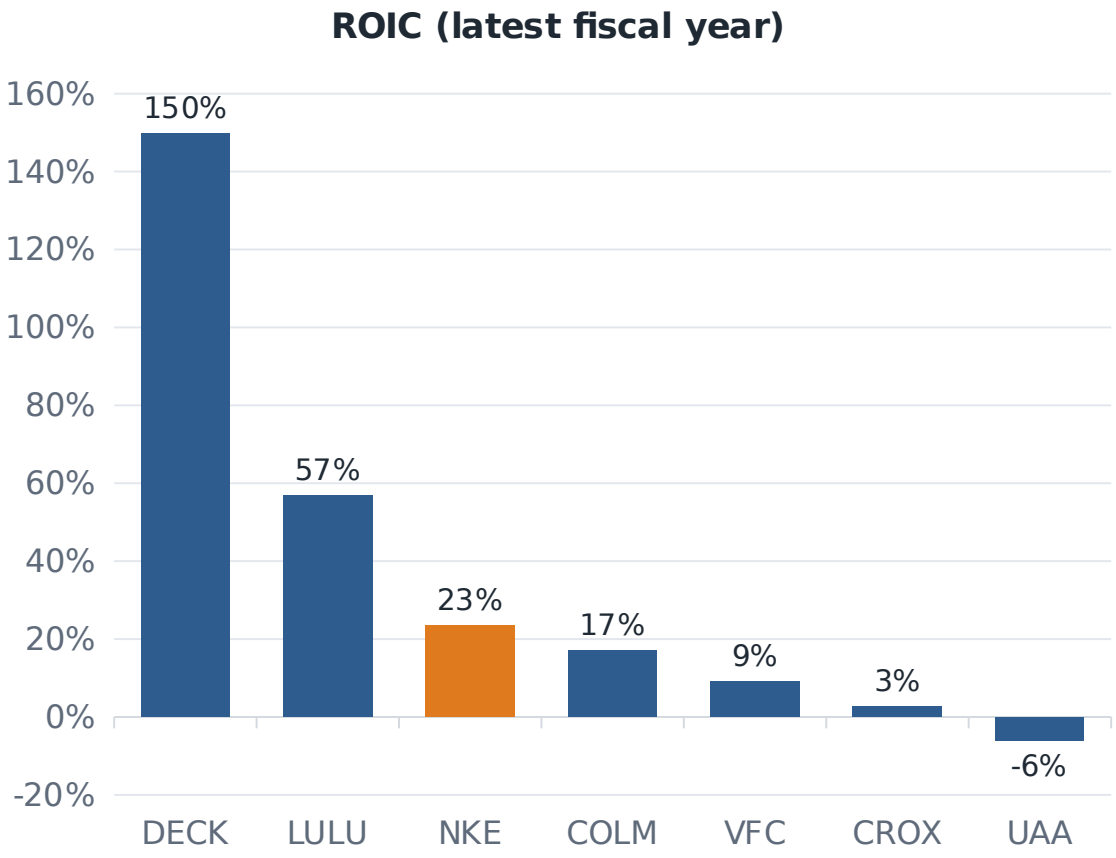
What the peer group tells us

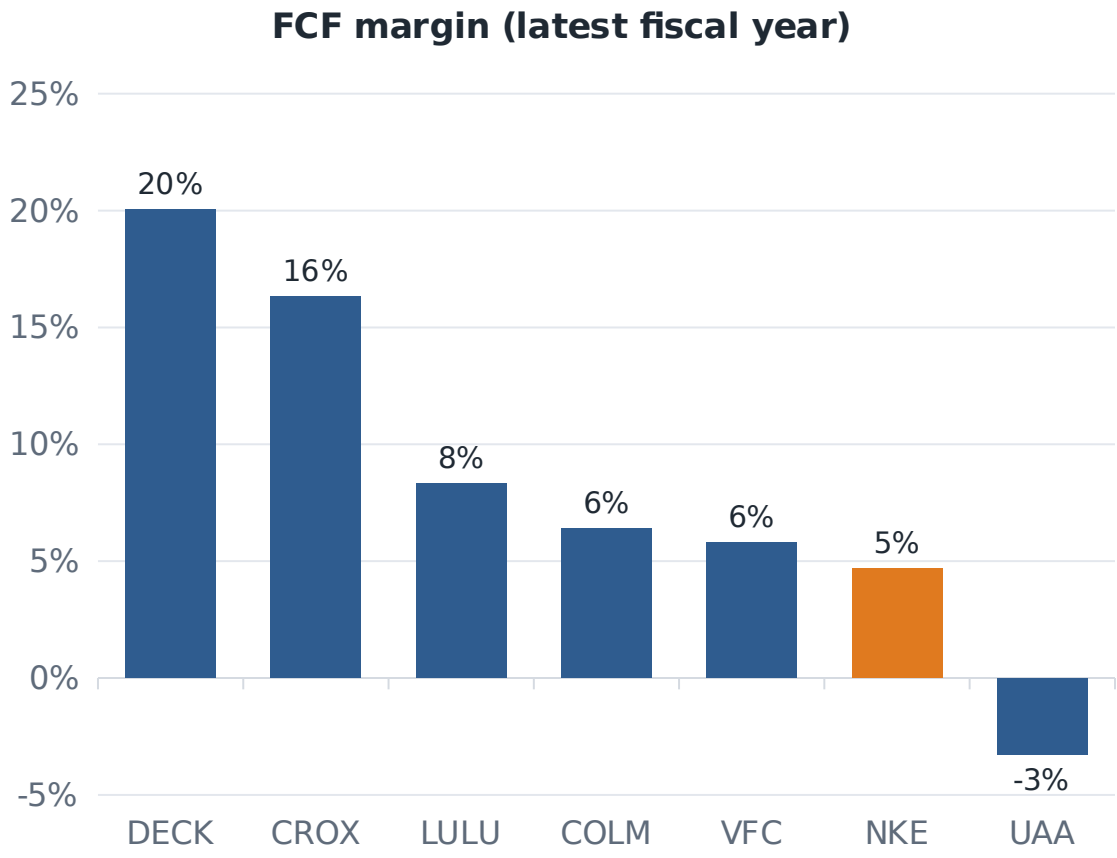
- Peer-group revenue growth has averaged +0.3% a year over the last three years (latest +1.1%); NKE averaged -3.1%.
- Industry EBIT margins are contracting (-7.5pp over three years, now 6.0% at the median).
- Gross margin trend: peers +3.5pp, NKE -0.6pp over three years.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

RETURNS & CASH GENERATION

Returns and cash: NKE ranks #3 of 7 on ROIC and converts 70% of earnings into free cash flow

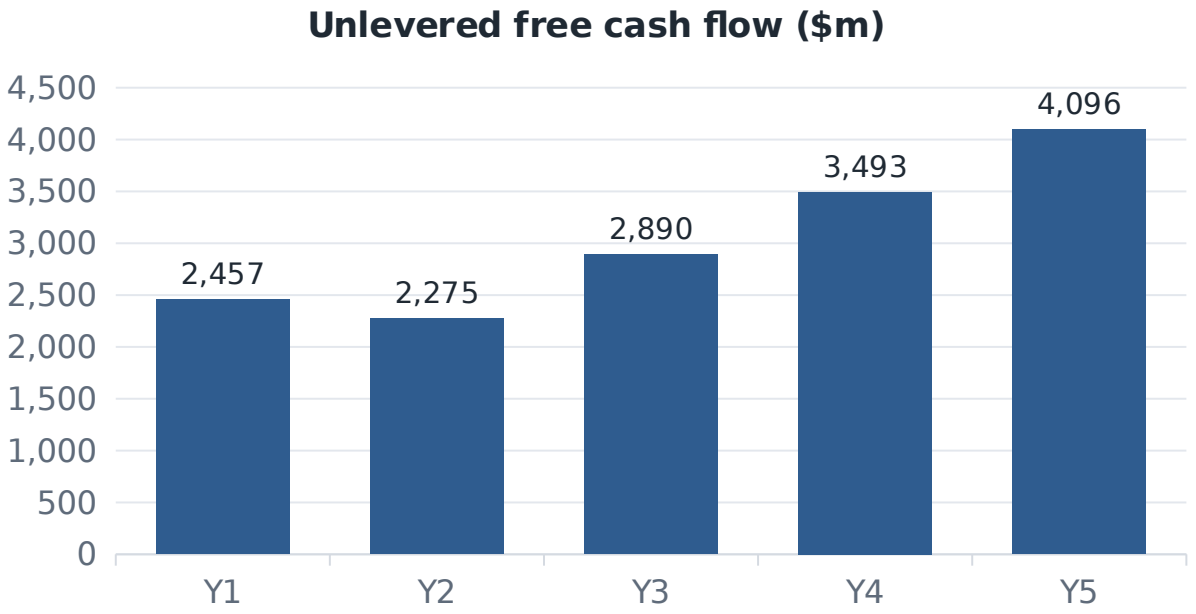




NKE highlighted. ROIC = EBIT × (1 − tax) / average (debt + equity − cash). Source: SEC EDGAR; Ticker-to-Thesis analysis.

VALUATION · DISCOUNTED CASH FLOW

DCF: $35.47 per share at a 9.2% WACC and 2.5% terminal growth



Forecast driver	Y1	Y2	Y3	Y4	Y5
Revenue growth	-8.0%	2.0%	4.0%	5.0%	4.0%
EBIT margin	5.0%	7.0%	9.0%	10.5%	11.5%
Revenue ($m)	42,686	43,540	45,281	47,546	49,447

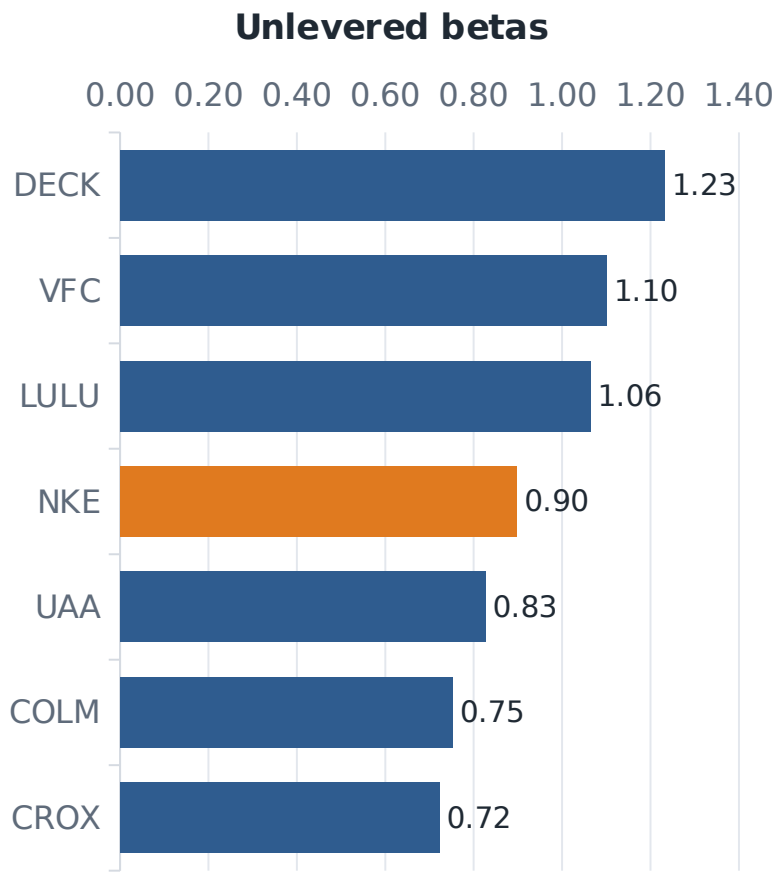
EV bridge ($m)	Value
PV of forecast UFCF	11,982
PV of terminal value	40,192
Enterprise value	**52,174**
Less: net debt	-475
Equity value	52,649
Diluted shares (m)	1,484.2
Value per share	**$35.47**
Terminal value % of EV	77.0%
Implied exit EV/EBITDA	9.6x
Exit-multiple method	$32.47 at 8.6x

UFCF = EBIT × (1 − tax) + D&A − capex − Δ working capital; mid-year discounting. Full model in the Excel workbook.

VALUATION · WACC

Cost of capital: 9.2% WACC from a bottom-up beta of 1.05 and an implied AAA credit rating

Component	Value	Basis
Risk-free rate	5.2%	FRED DGS10 (10-year Treasury), 2026-10-08
Equity risk premium	4.5%	Assumption (config)
Unlevered beta (peer median)	0.95	6 peers, 2y weekly vs S&P 500, Blume-adjusted
Relevered beta	1.05	At NKE's market D/E; own beta 1.00
Cost of equity	10.0%	CAPM: rf + β × ERP
Cost of debt (pre-tax)	5.8%	rf + 0.60% spread (AAA; coverage 11.8x)
Weights (equity / debt)	87% / 13%	Market cap and book debt
WACC	**9.2%**	



Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

VALUATION · SENSITIVITY

Sensitivity: every ±0.5pp on WACC moves the DCF value by about $3 per share

WACC \ terminal growth	2.00%	2.25%	2.50%	2.75%	3.00%
8.22%	$39.07	$40.43	$41.90	$43.51	$45.27
8.72%	$36.06	$37.20	$38.43	$39.76	$41.20
9.22%	$33.48	$34.44	$35.47	$36.59	$37.79
9.72%	$31.23	$32.05	$32.93	$33.88	$34.90
10.22%	$29.25	$29.97	$30.73	$31.54	$32.40

Green: ≥15% above the current price ($35.06). Red: ≥10% below. Orange: base case.

Exit-multiple method

WACC \ exit multiple	6.6x	7.6x	8.6x	9.6x	10.6x
8.22%	$27.91	$30.85	$33.80	$36.74	$39.68
8.72%	$27.37	$30.25	$33.12	$36.00	$38.87
9.22%	$26.84	$29.65	$32.47	$35.28	$38.09
9.72%	$26.33	$29.08	$31.83	$34.57	$37.32
10.22%	$25.83	$28.52	$31.20	$33.89	$36.57

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

VALUATION · TRADING COMPARABLES

Trading comps: NKE trades at 11.3x EV/EBITDA, a 32% premium to the peer median of 8.6x

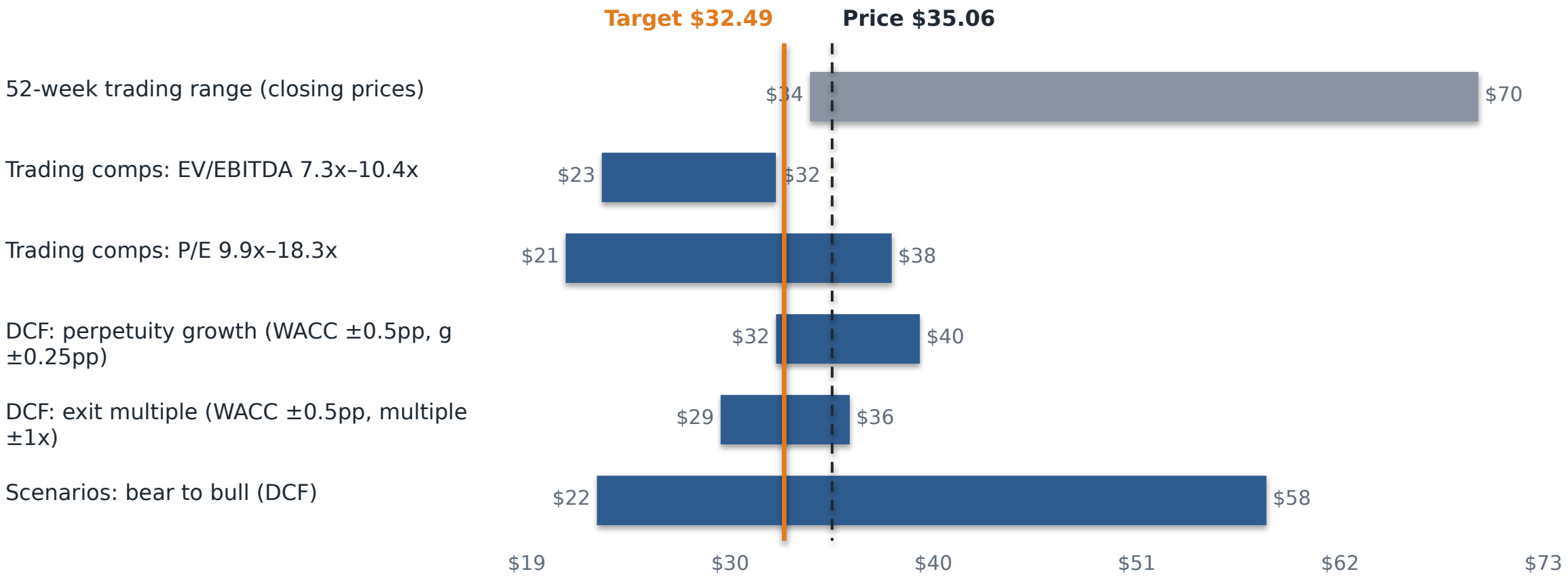
Company	Mkt cap	EV	EV / Sales	EV / EBITDA	P / E	EBIT margin	FCF yield
DECK · Deckers Outdoor	$11.4bn	$9.8bn	1.8x	7.3x	11.1x	23.1%	9.6%
LULU · Lululemon athletica	$10.0bn	$8.6bn	0.8x	3.2x	6.3x	19.9%	9.3%
VFC · VF	$6.2bn	$8.9bn	0.9x	10.4x	24.2x	6.0%	9.0%
CROX · Crocs	$5.7bn	$6.8bn	1.7x	29.8x	n/a	3.7%	11.7%
COLM · Columbia Sportswear	$2.9bn	$2.3bn	0.7x	8.6x	16.3x	6.1%	7.5%
UAA · Under Armour	$2.1bn	$2.3bn	0.5x	n/a	n/a	-3.3%	-7.6%
NKE · Nike	**$52.0bn**	**$51.6bn**	**1.1x**	**11.3x**	**16.7x**	**8.2%**	**4.2%**
Peer median			0.8x	8.6x	13.7x	6.0%	9.1%

Implied value per share for NKE: EV/EBITDA: $26.54 (range $22.72–$32.05) · P/E: $28.69 (range $20.78–$38.25)

Multiples on latest reported fiscal year; EV uses the latest balance sheet. Negative or extreme multiples excluded.

VALUATION · FOOTBALL FIELD

Valuation range: methods point to $21–$70; price target $32.49



Price target = 50% × DCF perpetuity ($35.47) + 25% × DCF exit multiple ($32.47) + 25% × comps EV/EBITDA ($26.54)

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

SCENARIO ANALYSIS

Scenarios: $22 bear, $35 base, $58 bull (DCF value per share)

BEAR CASE

$22.45

-36% vs current price

Revenue growth	**-11.0% → +1.0%**
EBIT margin (Y5)	**9.5%**
WACC	**10.2%**
Terminal growth	**2.0%**

BASE CASE

$35.47

+1% vs current price

Revenue growth	**-8.0% → +4.0%**
EBIT margin (Y5)	**11.5%**
WACC	**9.2%**
Terminal growth	**2.5%**

BULL CASE

$58.32

+66% vs current price

Revenue growth	**-5.0% → +7.0%**
EBIT margin (Y5)	**13.5%**
WACC	**8.2%**
Terminal growth	**3.0%**

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

RISKS

Key risks and what would change our view

Flagged by the data

- Margin compression: EBIT margin down 3.4pp over three years; the forecast assumes a recovery, which is the key swing factor.
- Valuation leans on the terminal value (77% of DCF enterprise value), so it is sensitive to WACC and long-run growth (see sensitivity tables).
- Premium multiple (11.3x EV/EBITDA vs peers 8.6x) despite below-median growth.

Analyst view

- China keeps falling: margins stall near 7% and value drops to ~$22 (our 'stuck' case).
- Share loss to challenger running brands (On, Hoka) limits pricing power.
- Execution slips: with recovery already priced in, there is little cushion for delays.

Catalysts

- Q2 FY27 results (expected late December): first read on China and holiday sell-through.
- Signs that Greater China declines are bottoming.
- Delivery of Pace savings as restructuring charges roll off.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

APPENDIX

Methodology, data and limitations

- **Data.** 10-K/10-Q XBRL facts from SEC EDGAR for NKE and 6 peers, standardised across tag changes and restatements; every value traceable to its filing (Excel: Sources sheet). Prices: Yahoo Finance / Stooq; risk-free: FRED DGS10.
- **Benchmarking.** Latest fiscal year for each company; percentile ranks oriented so 100 = best; trends use the peer median and quartiles.
- **DCF.** 5-year forecast, unlevered FCF, mid-year discounting, Gordon growth and exit-multiple terminal values.
- **WACC.** CAPM with a bottom-up beta (peer regression betas, Blume-adjusted, unlevered and relevered); cost of debt from a synthetic rating.
- **Price target.** Weighted blend of DCF (perpetuity and exit multiple) and trading comps; rating thresholds +15% / −10%.
- **Limitations.** No consensus estimates or stub-period adjustment; multiples on the latest fiscal year, not LTM; operating leases excluded from debt; peer set chosen by the analyst.

Educational research project generated with Ticker-to-Thesis. Not investment advice.